

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 19, Honorable Theodore C. Zayner Presiding

Maggie Castellon, Courtroom Clerk
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LAW AND MOTION TENTATIVE RULINGS

DATE: May 13, 2026 TIME: 1:30 P.M.
PREVAILING PARTY SHALL PREPARE THE ORDER
UNLESS OTHERWISE STATED (SEE [RULE OF COURT 3.1312](#))

LINE #	CASE #	CASE TITLE	RULING
LINE 1	24CV439209 (Lines 1-14)	Steleco LLC et al vs DPR Construction et al	See Line 1 for tentative ruling.
LINE 2	22CV400012 (Lines 15-16)	Pacific States Environmental Contractors, Inc. vs Steleco LLC et al	See Line 2 for tentative ruling.
LINE 3	23CV410973 (Line 17)	Stoner, et al. v. Contract Sweeping Services, LLC, et al. (Class Action)	See Line 3 for tentative ruling.
LINE 4	23CV421591 (Line 18)	Fernandez v. Suddarth Relocation Systems of Northern California, Inc., et al. (Class Action)	See Line 4 for tentative ruling.
LINE 5	23CV421642 (Line 19)	Brown v. Veoride, Inc. (Class Action/PAGA)	See Line 5 for tentative ruling.
LINE 6	25CV479119 (Line 20)	Sedre Wright et al vs Crossroads Trading Co., Inc.	See Line 6 for tentative ruling.
LINE 7			
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LINE 10			
LINE 11			
LINE 12			
LINE 13			

Line 1 (Calendar Lines 1-14)

Case Name: *Steleco LLC et al. v. DPR Construction et al.*
Case No.: 24CV439209

I. Introduction

Before the Court are two motions filed by defendants DPR Construction, A General Partnership (“DPR”), Amelia Kraus, and Robert Skinner: (1) a motion to dismiss the Complaint, or in the alternative, stay the action; and (2) a motion to compel mediation and arbitration and to stay these proceedings.¹ Plaintiffs Steleco LLC (“Steleco”) and Kipling Post LP (“Kipling Post”) (collectively, “Owners”) oppose. The Court (Hon. Panteha E. Saban) ordered supplemental briefing on seven discrete questions and has received supplemental briefing from DPR, Owners, TK Elevator (“TKE”), and Hohbach-Lewin, Inc. (“Hohbach-Lewin” or “HL”). (Order for Supplemental Briefing, Feb. 27, 2026.)

As discussed below, the Court tentatively rules as follows:

1. DPR’s motion to dismiss is DENIED. Dismissal is not the appropriate remedy where, as here, the parties have an ongoing arbitration, and the threshold issue is not justiciability but rather the appropriate forum.
2. DPR’s motion to compel mediation and arbitration is GRANTED IN PART and DENIED IN PART.
 - a. The motion is GRANTED as to: Steleco LLC; Kipling Post LP; DPR Construction; subcontractors holding the standard flow-down arbitration provision (as identified herein); Hohbach-Lewin, Inc.; Consolidated Engineering Laboratories on claims arising under their respective contracts with DPR; and DPR employees Amelia Kraus and Robert Skinner.
 - b. The motion is DENIED as to: KO Architects, Inc.; TK Elevator Corporation; Bigge Crane and Rigging Co.; Berkeley Cement, Inc.; and as to claims arising solely under the Owner-direct professional services with Hohbach-Lewin and Consolidated Engineering Laboratories.

¹ Various parties have moved to join DPR’s motion to dismiss the Complaint, and those joinders are granted.

- c. The parties shall complete mediation under the AAA Construction Industry Mediation Rules (Article 13.4) before further substantive arbitration hearings if they have not already done so to a conclusion. The arbitrator may, in her discretion, set a mediation deadline.
 - d. Owners' 13th cause of action for disgorgement under Business and Professions Code section 7031 shall proceed in arbitration with all other Owner-DPR claims. The Court reserves de novo review under *Ahdout v. Hekmatjah* (2013) 213 Cal.App.4th 21.
3. All proceedings in this Court are STAYED pending the outcome of arbitration to mitigate the risk of inconsistent rulings (Code Civ. Proc., §§ 1281.2, 1281.4), except for (a) ministerial matters relating to mechanics lien releases or bonds that do not require adjudication of the underlying merits, and (b) any further proceedings the Court orders. KO Architects, Inc.'s anticipated motion for summary judgment may be filed and heard after the stay is lifted.

II. Background

This action arises out of the construction of a four-story, mixed-use building with two levels of subterranean parking located at 425–429 University Avenue, Palo Alto, California (the “Project”). Kipling Post is the owner of the real property, and Steleco served as the “Agent for Owner.” Steleco contracted with DPR as construction manager and general contractor under a written contract dated January 15, 2019 (the “Prime Contract”). KO Architects (“KO Architects” or “KO”) was the project architect, retained directly by Kipling Post under a 2017 design agreement. HL was retained as structural and civil engineer, and CEL provided inspection and testing services. DPR retained more than 20 subcontractors, including TKE.

Article 13 of the Prime Contract contains a JAMS arbitration clause (§ 13.5), a multiparty-proceeding clause (§ 13.8), and a mechanic's-lien carve-out (§ 13.9); Article 14.3 selects “the Law in effect at the location of the Project” as governing law. KO Architects (under a contract with Owners predating the Prime Contract) and Hohbach-Lewin have no arbitration provisions with anyone. CEL has both a contract with DPR and a separate contract

with Owners. TKE's MSA contains a negotiated amendment at Section 17.2.4 stating that "litigation shall be utilized in lieu of arbitration," with the express agreement that the amendment would have priority over conflicting language.

On November 1, 2022, Steleco filed a JAMS arbitration demand against DPR. Hon. Lynn Duryee (Ret.) is the arbitrator. Scheduling Order No. 1 found the original dispute arbitrable. In Scheduling Order No. 10, however, Arbitrator Duryee acknowledged that the court "may find that consolidation of the related actions is proper, even though the within matter has been in arbitration for 1.5 years" and directed Owners to file a motion to consolidate.

Beginning in 2022, eleven mechanic's lien and payment lawsuits were filed by various subcontractors against Owners and DPR. Seven were consolidated by Order dated November 22, 2023 (Lead Case 22CV400012). On May 16, 2024, Owners filed this defect action (24CV439209), asserting sixteen causes of action against twenty-eight defendants. Owners seek consolidation of all related actions, including the arbitration. The motion to consolidate is heard concurrently with the present motions.

Among the causes of action in this case is a Thirteenth Cause of Action for disgorgement of all sums paid to DPR pursuant to Business and Professions Code section 7031, premised on Owners' allegation that DPR's License No. 953749 lapsed during construction. DPR represents that it obtained License No. 1083716 before suspension of License No. 953749, ensuring continuous licensure. The licensure dispute is contested on the present record.

III. Governing Law

Although the Federal Arbitration Act ("FAA") governs the substantive enforceability of arbitration agreements that affect interstate commerce, California's procedural rules (including Code of Civil Procedure section 1281.2) apply in California court unless the parties have expressly chosen the FAA's procedural provisions. (*Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 393–394 (*Cronus*); *Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 177 (*Valencia*); *Los Angeles Unified Sch. Dist. v. Safety Nat. Cas. Corp.* (2017) 13

Cal.App.5th 471, 482–483 (*LA Unified*).) Article 14.3 of the Prime Contract provides only that “[t]he Law in effect at the location of the Project shall govern this Agreement,” in other words, California law. Nothing in the Prime Contract designates the FAA’s procedural sections as the procedural rules governing the arbitration. Under *Cronus*, *Valencia*, and *LA Unified*, section 1281.2 therefore applies.

DPR’s supplemental brief candidly acknowledges this. (DPR Supplemental Brief, p. 17 [“the FAA’s procedural provisions do not apply in state court unless the parties expressly adopt them. The state’s procedural statutes (§§ 1281.2, 1290.2) apply by default”].) The Court finds no actual conflict between the FAA and section 1281.2 on these facts that would warrant displacing California’s procedural framework. Accordingly, the motion is decided under section 1281.2.

Under Code of Civil Procedure section 1281.2, the Court must order arbitration of a controversy if it determines that an agreement to arbitrate exists, unless it determines that (a) the right to compel arbitration has been waived; (b) grounds exist for revocation of the agreement; or (c) “[a] party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact.”

Where subdivision (c) applies, the Court has broad discretion. It may: (1) refuse to enforce the arbitration agreement and order intervention or joinder; (2) order intervention or joinder as to certain issues; (3) order arbitration among the parties who agreed to arbitrate and stay the pending court action pending arbitration; or (4) stay the arbitration pending the outcome of the court action. (Code Civ. Proc. § 1281.2; *Mercury Ins. Group v. Superior Court* (1998) 19 Cal.4th 332, 345–346 (*Mercury Ins. Group*).) An opponent of arbitration need only show that conflicting rulings are “possible,” not inevitable. (*Lindemann v. Hume* (2012) 204 Cal.App.4th 556, 567 [the issue under section 1281.2 subdivision (c), “is not whether inconsistent rulings are inevitable but whether they are possible if arbitration is ordered”].)

IV. Discussion

The Court asked seven supplemental questions in its Order for Supplemental Briefing, discussed in turn below.

A. Scope of Arbitrability for Non-Signatories (Question 1)

The Court asked: “The arbitration clause in the agreement between Steleco and DPR appears contractually limited to those two parties. On what legal basis, if any, should the Court compel arbitration of disputes involving subcontractors who are not signatories to that specific agreement?” California recognizes several doctrines under which a non-signatory may be compelled to arbitrate: (a) incorporation by reference; (b) assumption; (c) agency; (d) alter ego; (e) equitable estoppel; and (f) third-party beneficiary. (*Cohen v. TNP 2008 Participating Notes Program, LLC* (2019) 31 Cal.App.5th 840, 859 (*Cohen*); *Jensen v. U-Haul Co. of California* (2017) 18 Cal.App.5th 295, 306 (*Jensen*) [“[a] non-signatory plaintiff may be estopped from refusing to arbitrate when he or she asserts claims ‘dependent upon, or inextricable intertwined with,’ the underlying contractual obligations of the agreement containing the arbitration clause”].) The Court applies the foregoing principles to each category of party.

1. Steleco LLC

Steleco is a signatory to the Prime Contract and has affirmatively initiated and prosecuted the JAMS arbitration. Its claims against DPR are quintessential Article 13.5 disputes “arising out of” the Prime Contract. Steleco is bound to arbitrate.

Accordingly, the motion is GRANTED as to Steleco.

2. Kipling Post LP

Kipling Post did not sign the Prime Contract. Owners argue that for that reason it cannot be compelled to arbitrate. The Court disagrees on this record. Kipling Post is the actual record owner of the Project and is named alongside Steleco as a co-claimant in the JAMS arbitration demand it filed in November 2022. It has prosecuted that arbitration, paid arbitration fees, taken discovery, and attended hearings for more than three years. By voluntarily invoking the arbitration forum, Kipling Post is properly compelled under the

doctrines of assumption and equitable estoppel. (*Cohen, supra*, 31 Cal.App.5th at p. 859 (assumption); *Jensen, supra*, 18 Cal.App.5th at p. 306 [estoppel where non-signatory's claims are inextricably intertwined with the contract].) Kipling Post's claims for breach of contract, defective workmanship, breach of implied warranty, and disgorgement against DPR are all dependent on the rights and duties created by the Prime Contract.

Accordingly, the motion is GRANTED as to Kipling Post.

3. DPR Construction

DPR is a signatory to the Prime Contract and the moving party. The motion is GRANTED as to DPR. The Court reminds DPR of its concurrent obligation under Article 13.4 to participate in mediation under the AAA Construction Industry Mediation Rules. The parties shall mediate in good faith before further substantive arbitration hearings if they have not already done so to a conclusion.

4. The Subcontractors With "Standard" Flow-Down Provisions

The subcontracts produced on this record contain a flow-down clause that incorporates the Prime Contract's dispute resolution procedures "as if fully set forth" and binds the subcontractor to participate in the same proceeding when the dispute involves Owner. As to those subcontractors, the flow-down clause is a written arbitration agreement directly binding the subcontractor. They are not "third parties" within the meaning of section 1281.2(c). (*Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 612 ["[a]s used in section 1281.2, subdivision (c), the term 'third party' means a party to the action that is not bound by or entitled to enforce the arbitration agreement"].)

Accordingly, the motion is GRANTED as to subcontractors holding "standard" flow-down provisions whose claims are presently before the court and involve, or are alleged to involve, acts or omissions of the Owner or are tied to the Owner–DPR dispute. Based on the record presented, this includes (subject to verification of the operative subcontract for each): Pacific States Environmental Contractors, Inc.; Acco Engineered Systems, Inc.; Air Systems, Inc.; Schnabel Foundation Company; Freas Plastering Company, Inc.; Alcal Specialty

Contracting, Inc.; Alcal Glass Systems, Inc.; W. Bradley Electric, LLC; Pacific Steel Group, LLC; Academy Awning, Inc.; Alliance Roofing Company, Inc.; Anning-Johnson Company; Cornerstone Masonry, Inc.; Cosco Fire Protection, Inc.; George E. Masker, Inc.; Joseph J. Albanese, Inc.; Lee's Imperial Welding, Inc.; Service Metal Products, Inc.; Superior Gunite; and Therma LLC.

5. Subcontractors With "Owner Disapproval" Language (Bigge Crane and Berkeley Cement)

At least two subcontractors (Bigge Crane and Rigging Co. and Berkeley Cement, Inc.) have a Section 17.1 clause or provision that contains an additional qualifier providing that, in disputes involving Owner, "Contractor and Subcontractor will participate together in the same dispute resolution proceeding unless Owner or Contractor disapproves Subcontractor's participation." Owners have expressly disapproved their participation in arbitration as to these two subcontractors. The clause is clear on its face and enforceable as it states.

Accordingly, the motion is DENIED as to Bigge Crane and Rigging Co. and Berkeley Cement, Inc. The state-court claims by and against those subcontractors will be stayed under section 1281.4 pending the conclusion of arbitration.

Should further review reveal that any other subcontract contains comparable "disapproval" language not yet briefed to the Court, the parties may move for clarification. The Court directs DPR to lodge complete copies of all subcontracts on the record within fifteen (15) days, in light of the assertion in Owners' supplemental brief that some subcontracts have been produced only as work authorizations.

6. TK Elevator Corporation

TKE's subcontract is materially different from the others. The TKE Master Subcontract Agreement substitutes Section 17.2.4 with the express provision that "litigation shall be utilized in lieu of arbitration" and provides that this amendment "shall have the highest priority over any conflicting language" in the subcontract. DPR concedes the language but contends that Sections 17.1, 17.3, and 17.5 still apply where Owner is involved.

The Court declines to adopt DPR's reading. The TKE amendment is by its terms a deliberate, negotiated departure from the standard arbitration regime, with an express priority clause. Reading Sections 17.1, 17.3, and 17.5 to override the amendment would render the negotiated amendment a nullity. Because TKE has expressly preserved its right to litigate as to its disputes with DPR, and has unambiguously objected to participating in arbitration, the Court will respect TKE's contracted-for forum choice.

Accordingly, the motion is DENIED as to TKE. The state-court claims by and against TKE shall be stayed under section 1281.4 pending the conclusion of the arbitration, to avoid inconsistent factual findings on overlapping issues.

7. KO Architects, Inc.

KO's 2017 design contract with Kipling Post predates the Prime Contract by sixteen months and contains no arbitration clause. The Owners owed a contractual obligation under Article 13.8 of the Prime Contract to bring KO into the same dispute-resolution forum, but they did not. That contractual breach is between Owners and DPR; it does not retroactively impose an arbitration agreement on KO.

DPR argues that KO is equitably estopped because KO's cross-complaint expressly invokes Article 11.1.1 of the Prime Contract for indemnity. Equitable estoppel is a colorable theory, but on this record the Court is not persuaded that KO's status as a contractually identified "Design Professional" entitled to indemnity is sufficient to override the absence of any arbitration agreement, particularly where KO has consistently disclaimed any intention to participate in the arbitration and the Owner-KO relationship is governed by an earlier, separate contract with no arbitration clause.

Accordingly, the motion is DENIED as to KO. Pursuant to section 1281.4, the state-court claims by and against KO shall be stayed pending the conclusion of the arbitration. KO's indication that it intends to file a motion for summary judgment will be addressed when the stay is lifted.

8. Hohbach-Lewin and Consolidated Engineering Laboratories

On this record, both Hohbach-Lewin and CEL hold separate professional services agreements with the Owners that contain no arbitration clause. Both also hold contracts with DPR. DPR proffers that the DPR/Hohbach-Lewin and DPR/CEL contracts each contain a Section 23 incorporating the Prime Contract's dispute resolution procedures whenever the Owner is "involved."

To the extent the claims by or against Hohbach-Lewin and CEL arise out of, or are inextricably intertwined with, their DPR contracts in disputes that involve Owner, those claims are arbitrable through the flow-down mechanism, on the same logic that governs the standard subcontractors above. To the extent claims arise solely under the separate Owner-direct professional services agreements that contain no arbitration clause, those claims are not arbitrable.

Accordingly, the Court tentatively GRANTS the motion as to Hohbach-Lewin and CEL on claims tied to their DPR contracts and DENIES the motion as to claims arising solely from their separate Owner-direct contracts; those latter claims shall be stayed under section 1281.4 pending arbitration. The parties may seek clarification at the case management conference upon a more complete showing of the operative agreements.

9. DPR Employees Amelia Kraus and Robert Skinner

Owners have named two DPR employees as defendants in the Defect Lawsuit. Where the claims against these individuals are derivative of DPR's alleged breaches of the Prime Contract and are within the scope of their employment, the claims are inextricably intertwined with DPR's arbitration agreement, and equitable estoppel principles permit them to invoke that agreement.

Accordingly, the motion is GRANTED as to Kraus and Skinner.

B. Severability of Claims (Question 2)

The Court asked: “Can the Court legally compel a portion of the claims to arbitration while retaining jurisdiction over others for a civil trial?” Yes. Section 1281.2 expressly contemplates the partial arbitration outcome: when a controversy presents both arbitrable and non-arbitrable issues, the Court may order the arbitrable issues to arbitration and stay the remainder. Section 1281.4 makes that stay mandatory upon request. The Court may also elect to retain non-arbitrable claims while staying them pending the arbitral award, where doing so will mitigate inconsistent rulings.

Here, the arbitrable claims are: Owners’ breach of contract, warranty, negligence, indemnity, and contract-based declaratory relief claims against DPR (Counts 1, 5, 6, 7, 10, 12, 14); the section 7031 disgorgement claim against DPR (Count 13); and DPR subcontractor cross-claims tied to flow-down agreements. The non-arbitrable claims are Owners’ claims against KO Architects, HL, CEL (on the direct contract), and TKE. DPR’s mechanic’s-lien remedies are preserved by Article 13.9 of the Prime Contract; the underlying contract dispute giving rise to the lien remains arbitrable.

C. Risk of Contradictory Rulings (Question 3)

The Court asked: “In the event of a ‘split’ proceeding . . . what specific risks exist regarding inconsistent or contradictory rulings, and how should the Court mitigate those risks under relevant statutes (e.g., CCP § 1281.2)?” Here, the risks are real and substantial. Owners allege that the Project has both design and construction defects. The construction defendants will likely attribute responsibility to the design professionals, and the design professionals (KO, HL) will likely attribute responsibility to construction means and methods. If the arbitrator finds that the construction work met applicable standards because the contractors followed defective design instructions, Owners will still need to prove the design-defect theory in court. A jury could disagree, leaving Owners without a recovery on either side. The reverse risk also exists: a court finding of acceptable design could be undermined by an arbitral finding that the construction work was sound but unspecified design defects caused the loss. Section 1281.2(c) was enacted precisely to address this scenario. (*Mercury Ins. Group*, *supra*, 19 Cal.4th at pp. 345–346.)

In this case, the Court will attempt to mitigate the risk in two ways. First, the Court will compel arbitration of the subcontractor claims that are subject to valid arbitration agreements, so that the arbitrator can resolve the bulk of the construction-side disputes in a single forum. Second, the Court will stay the court action as to KO Architects, HL, CEL (on the Owners' direct contract), and TKE pending the arbitral award. That order of events will allow the arbitrator's findings on construction and causation to provide context for the design-side claims when they later proceed in this Court, without binding the design-side defendants in a forum to which they did not consent. The Court will then resolve any remaining design-side issues with the benefit of a developed factual record.

D. Validity of Subcontractor Stipulations (Question 4)

The Court asked: "The parties must provide an updated, definitive list of stipulating parties [and] brief the scope of an attorney's authority to stipulate to arbitration on behalf of a client and whether extrinsic evidence (such as the signatures of the principals) is required to validate these stipulations." Under *Blanton v. Womancare, Inc.* (1985) 38 Cal.3d 396, 407 (*Blanton*), "it is established that an attorney does not have implied plenary authority to enter into contracts on behalf of his client. [Citations.]" Thus, actual authority is required to bind a client to arbitration. The counsel-signed draft stipulation, standing alone, is insufficient. Nevertheless, the Court is satisfied here that subcontractors who have filed joinders to DPR's motion or are represented by counsel who have joined the motion have ratified arbitration through litigation conduct. DPR is granted leave to cure the *Blanton* issue as to any other subcontractor within thirty (30) days by submitting joinders or principal-signed declarations of actual authority. The Court does not need to rely on the stipulations as to any subcontractor whose subcontract independently contains a flow-down arbitration provision, as the contract itself provides the necessary basis.

The Court accepts Owners' chart at pages 13–15 of their supplemental brief as a working list of stipulating, joining, and non-consenting parties, subject to update upon DPR's submission of any additional ratifying joinders or declarations.

E. Effect of Non-Consenting Parties (Question 5)

The Court asked: “At least one subcontractor (TK Elevator) has filed an objection. How does the presence of non-consenting subcontractors — whose separate contracts with DPR may require arbitration — affect the Court's discretion to compel arbitration in the global Steleco matter?” Here, TKE is not only “non-consenting”; it is contractually outside the arbitration framework. Section 17.2.4 of the TKE MSA, which TKE expressly negotiated, provides that “litigation shall be utilized in lieu of arbitration” and gives that amendment “the highest priority over any conflicting language.” DPR’s argument that the standard Section 17.1 dispute provisions override TKE’s negotiated amendment is not consistent with ordinary principles of contract interpretation, which give effect to specific, bargained-for terms over general boilerplate. (See Civ. Code, § 3534.)

TKE’s status reinforces the section 1281.2(c) discretion to keep at least some of the Project disputes in this Court. TKE is a Project participant whose work is implicated in Owners’ defect allegations; an arbitrator's findings on related construction issues could impact, but cannot bind, TKE. The Court therefore (a) denies the motion to compel arbitration as to TKE, and (b) factors TKE’s continued presence in this Court into the section 1281.2(c) discretion to deny arbitration as to the design professionals as well.

F. FAA Preemption – Directed to DPR (Question 6)

The Court asked: “Is there an actual conflict between the Federal Arbitration Act and Code of Civil Procedure section 1281.2?” DPR’s supplemental brief directly answers “No.” (DPR Supplemental Brief, p. 17). The Court agrees. The *Cronus* line of authority is settled: section 1281.2(c) is procedural, and the FAA’s procedural provisions do not displace it in California court absent an express adoption in the parties’ agreement. As there is no such express adoption in the Prime Contract, section 1281.2(c) governs.

G. Lapse in Licensure (Question 7)

An alleged section 7031 violation does not invalidate an arbitration agreement at the threshold. (*Templo Calvario Spanish Assembly of God v. Gardner Constr. Corp.* (2011) 198

Cal.App.4th 509, 519 [“entering into a contract with a contractor who is later shown to be unlicensed at the time of execution of the contract does not automatically render the contract void”]; Bus. & Prof. Code § 7031(f) [contemplating “actions or arbitrations”].) *Loving & Evans v. Blick* (1949) 33 Cal.2d 603 and *Lindenstadt v. Staff Builders, Inc.* (1997) 55 Cal.App.4th 882 involved parties who were undisputedly unlicensed at all relevant times (in contrast to the contested record here). Owners’ concerns are protected by the standard of review under *Ahdout, supra*, 213 Cal.App.4th at pp. 38–39 (an arbitral award implicating section 7031 is subject to mandatory de novo judicial review).

Accordingly, the disgorgement claim shall proceed in arbitration with full reservation of this Court’s de novo review of any award turning on DPR’s licensure.

V. Conclusion

For the reasons set forth, the Court tentatively rules as follows:

1. DPR’s motion to dismiss is DENIED. Dismissal is not the appropriate remedy where, as here, the parties have an ongoing arbitration, and the threshold issue is not justiciability but rather the appropriate forum.
2. DPR’s motion to compel mediation and arbitration is GRANTED IN PART and DENIED IN PART.
 - a. The motion is GRANTED as to: Steleco LLC; Kipling Post LP; DPR Construction; subcontractors holding the standard flow-down arbitration provision (as identified herein); Hohbach-Lewin, Inc.; Consolidated Engineering Laboratories on claims arising under their respective contracts with DPR; and DPR employees Amelia Kraus and Robert Skinner.
 - b. The motion is DENIED as to: KO Architects, Inc.; TK Elevator Corporation; Bigge Crane and Rigging Co.; Berkeley Cement, Inc.; and as to claims arising solely under the Owner-direct professional services with Hohbach-Lewin and Consolidated Engineering Laboratories.
 - c. The parties shall complete mediation under the AAA Construction Industry Mediation Rules (Article 13.4) before further substantive arbitration

hearings if they have not already done so to a conclusion. The arbitrator may, in her discretion, set a mediation deadline.

d. Owners' 13th cause of action for disgorgement under Business and Professions Code section 7031 shall proceed in arbitration with all other Owner-DPR claims. The Court reserves de novo review under *Ahdout v. Hekmatjah* (2013) 213 Cal.App.4th 21.

3. All proceedings in this Court are STAYED pending the outcome of arbitration to mitigate the risk of inconsistent rulings (Code Civ. Proc., §§ 1281.2, 1281.4), except for (a) ministerial matters relating to mechanics lien releases or bonds that do not require adjudication of the underlying merits, and (b) any further proceedings the Court orders. KO Architects, Inc.'s anticipated motion for summary judgment may be filed and heard after the stay is lifted.

The Court will prepare the order.

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Line 2 (Calendar Lines 15-16)

Case Name: *Pacific States Environmental Contractors, Inc. v. Steleco LLC et al.*

Case No.: 22CV400012

(Lead Case, consolidated with 22CV403303, 22CV405917, 22CV407002, 22CV407262, 22CV409210, 23CV415888; related to 22CV404194, 23CV416531, 23CV418900, 24CV439209; JAMS Case No. 5100000724)

I. Introduction

These consolidated and related actions arise out of the construction of a four-story, mixed-use building with two levels of subterranean parking located at 425–429 University Avenue, Palo Alto, California (the “Project”). Kipling Post LP (“Kipling Post”) is the owner of the real property, and Steleco LLC (“Steleco”) served as the “Agent for Owner.” Steleco contracted with DPR Construction, A General Partnership (“DPR”), as construction manager and general contractor under a written prime contract dated January 15, 2019 (the “Prime Contract”). KO Architects, Inc. (“KO Architects” or “KO”) was the project architect, retained directly by Kipling Post under a 2017 design agreement that contains no arbitration clause. Hohbach-Lewin, Inc. (“HL”) was retained as structural and civil engineer, and Consolidated Engineering Laboratories (“CEL”) provided inspection and testing services. DPR retained more than 20 subcontractors, including TK Elevator Corporation (“TKE”).

Disputes arose during construction. Various subcontractors and suppliers have filed eleven mechanic’s liens against DPR and Kipling Post. Steleco and Kipling Post (collectively, “Owners”), commenced JAMS Case No. 5100000724 against DPR on November 1, 2022, alleging breach of contract, defective construction, delay, and indemnity-related claims. Arbitrator Hon. Lynn Duryee (Ret.) issued Scheduling Order No. 1 on May 23, 2023, expressly finding the matter arbitrable, and has since issued at least eleven scheduling orders. On May 16, 2024, Owners commenced a separate construction-defect action, *Steleco LLC v. DPR Construction*, Santa Clara County Superior Court Case No. 24CV439209 (the “Defect Lawsuit”), naming DPR, KO Architects, HL, CEL, more than 20 subcontractors, and two DPR

employees as defendants, and adding causes of action that include disgorgement under Business and Professions Code section 7031.

Two motions are now before the Court:

- (1) Owners' motion to consolidate cases (filed June 28, 2024) seeking to consolidate four additional Superior Court cases as well as the JAMS arbitration into the previously consolidated lead case under Code of Civil Procedure sections 1048 and 1281.2(c) ("Motion to Consolidate"); and
- (2) DPR's motion to compel mediation and arbitration and to stay proceedings (filed September 26, 2024), seeking to enforce the Prime Contract's mediation and arbitration provision and to stay the consolidated state-court matters pending the conclusion of the JAMS arbitration ("Motion to Compel Mediation and Arbitration").

Pursuant to the Court's (Hon. Panteha E. Saban) February 27, 2026 Order for Supplemental Briefing, the parties simultaneously submitted supplemental briefs on March 19, 2026, addressing seven discrete questions identified by the Court. As discussed below, the Court tentatively rules as follows: (1) Owners' Motion to Consolidate is GRANTED IN PART and DENIED IN PART; (2) DPR's Motion to Compel Mediation and Arbitration is GRANTED IN PART and DENIED IN PART; (3) the consolidated state-court action is STAYED in its entirety pending the issuance of the arbitration award, subject to limited exceptions described herein.

II. Background

A. The Prime Contract and Multiparty Proceeding Clause

The Prime Contract was executed by Steleco, as Agent for Owner, and DPR. Kipling Post is not a signatory. Article 13 of the Prime Contract is captioned "Dispute Mitigation and Resolution" and provides, in relevant part:

§ 13.2 (Direct Discussions): A 60-day pre-dispute negotiation period.

§ 13.4 (Mediation): Mediation under the AAA Construction Industry Mediation Rules before any arbitration.

§ 13.5 (Binding Dispute Resolution): “If the matter is unresolved after submission of the matter to a mitigation procedure or to mediation, the Parties shall submit the matter to the binding dispute resolution procedure selected below: Arbitration using: the current JAMS Engineering and Construction Arbitration Rules and Procedures and administered by JAMS....”

§ 13.8 (Multiparty Proceeding): “All parties necessary to resolve a matter agree to be parties to the same dispute resolution proceeding, if possible. Appropriate provisions shall be included in all other contracts relating to the Work to provide for the joinder or consolidation of such dispute resolution procedures.”

§ 13.9 (Lien Rights): “Nothing in this article shall limit any rights or remedies not expressly waived by [DPR] which [DPR] may have under lien laws.”

§ 14.3 (Governing Law): “The Law in effect at the location of the Project shall govern this Agreement.”

The DPR/subcontractor agreements typically contain a flow-down clause providing that the dispute resolution procedures of the Prime Contract apply to disputes arising in connection with the Work where such disputes “involve or are alleged to involve acts or omissions of Owner or its representatives or involve a dispute between Owner and DPR.” Section 17.1 of those subcontracts further provides that, in those circumstances, “Owner, [DPR] and Subcontractor shall participate together in the same dispute resolution proceeding”—with at least two subcontracts (Bigge Crane and Berkeley Cement) including the qualifying phrase “unless Owner or Contractor disapproves Subcontractor’s participation.”

TKE’s subcontract is materially different. The TKE Master Subcontract Agreement amends DPR’s standard arbitration provision and substitutes Section 17.2.4, providing that “litigation shall be utilized in lieu of arbitration.” That amendment also expressly states that it “shall have the highest priority over any conflicting language” in the subcontract.

B. The KO Architects Design Contract

KO’s September 1, 2017 design agreement is with Kipling Post (not Steleco), predates the DPR Prime Contract by sixteen months, contains no arbitration clause, and contains a

\$10,000 limitation-of-liability provision in KO's favor. Owners' cross-complaint against KO sounds in breach of contract, professional negligence, and declaratory and indemnity relief. KO has cross-claimed against DPR for indemnity, expressly invoking Article 11.1.1 of the Prime Contract.

C. The JAMS Arbitration

Owners themselves filed the JAMS arbitration demand on November 1, 2022, naming DPR. The Arbitration Demand was signed and prosecuted by Steleco "as Agent for Owner" and Kipling Post jointly. In Scheduling Order No. 1 (May 23, 2023), Arbitrator Duryee expressly found the matter arbitrable under Article 13.5 of the Prime Contract. Eleven scheduling orders have followed. DPR represents that it has produced more than 200,000 pages of documents and has incurred substantial JAMS fees. In Scheduling Order No. 10 (May 17, 2024), the arbitrator declined to set further pre-hearing dates pending this court's ruling on the consolidation motion, while reaffirming arbitrability and noting that consolidation is a matter for this court.

D. DPR's Disputed Licensure Status

Owners allege that DPR's qualifiers disassociated from California Contractors' State License Board License No. 953749, that the license was thereafter suspended, and that DPR therefore performed work as an unlicensed contractor in violation of Business and Professions Code section 7031. DPR represents that it secured License No. 1083716 before the prior license was suspended, and that it was continuously licensed throughout the Project under one or both license numbers. The licensure dispute is unresolved on this record.

III. Owners' Motion to Consolidate

A. Legal Standard for Consolidation

Code of Civil Procedure section 1048(a) authorizes the court to order a joint hearing or trial of any or all matters in issue, or to consolidate the actions, when actions involving a

common question of law or fact are pending before the court. “California procedural law is infused with a solicitude, if not an altogether outright preference for the economies of scale achieved by consolidating related cases into a single, centrally managed proceeding.” (*Petersen v. Bank of America Corp.* (2014) 232 Cal.App.4th 238, 248.) Consolidation should not, however, prejudice substantial rights of any party. (*Stickley v. Eisner* (1935) 5 Cal.App.2d 441, 444 [“[s]uch actions may be consolidated in the discretion of the court whenever it can be done without prejudice to a substantial right”].)

Section 1281.2(c) provides separate authority for the court, where a party to an arbitration agreement is also a party to a pending court action with a third party arising out of the same transaction and there is a possibility of conflicting rulings on a common issue of law or fact, to (i) refuse to enforce the arbitration agreement and order joinder of all parties; (ii) order arbitration as to those parties who agreed to arbitrate and stay the court action; (iii) stay the arbitration; or (iv) consolidate or join the arbitration for all or limited purposes. The California Supreme Court has confirmed the court’s authority to consolidate an arbitration with a state-court action under section 1281.2(c). (*Mercury Ins. Group v. Superior Court* (1998) 19 Cal.4th 332, 345–346 (*Mercury Ins. Group*).)

B. Consolidation of State-Court Actions: GRANTED

Owners seek to join four additional state-court actions: *Acco Engineered Systems, Inc. v. DPR Construction* (22CV404194); *Pacific Steel Group v. Kipling Post, LP, et al.* (23CV416531); *W. Bradley Electric, Inc. v. Kipling Post LP, et al.* (23CV418900); and *Steleco LLC v. DPR Construction, et al.* (24CV439209) (the Defect Lawsuit). These four matters all arise out of the construction of the Project, are governed by overlapping prime and subcontract documents, involve the same Owners and the same general contractor, and turn on substantially overlapping questions of fact regarding the scope, sequence, quality, completeness, and payment of work performed. Seven actions were already consolidated by this Court on November 22, 2023, on essentially the same reasoning. The newly consolidated actions follow nearly identical fact patterns.

Here, no party has identified any substantial right that would be prejudiced by litigating these matters in a single, coordinated state-court proceeding. To the contrary, separate proceedings would generate duplicative discovery, inconsistent case-management deadlines, and a substantial risk of inconsistent factual findings on overlapping issues. The motion to consolidate is therefore GRANTED as to the above-listed state-court actions, which shall proceed under Lead Case No. 22CV400012 for all purposes through trial pursuant to California Rules of Court, rule 3.350.

C. Consolidation of JAMS Arbitration into State-Court Action: DENIED

Owners further request that the court consolidate the pending JAMS arbitration into the state-court matter under section 1281.2(c). That request is DENIED.

First, the JAMS arbitration was *initiated by Owners themselves* more than three years ago. Owners filed the demand, jointly identified themselves as claimants, agreed to and benefited from the appointment of Arbitrator Duryee, and have actively prosecuted their claims through eleven scheduling orders. Owners are accordingly bound by their election. (*Gerard v. Salter* (1956) 146 Cal.App.2d 840, 844 [“[o]nce a controversy is submitted to arbitration, it remains before the arbitrators until they have completed their determination of the matter, unless the parties mutually agree to withdraw it”]; *NORCAL Mutual Ins. Co. v. Newton* (2000) 84 Cal.App.4th 64, 80 [“a party may not agree to arbitrate a matter, participate in the arbitration and then attempt to avoid its binding nature when the result is unfavorable”].)

Second, the Multiparty Proceeding clause (Article 13.8) reflects the parties’ affirmative contractual choice that the same dispute-resolution forum apply to disputes involving necessary parties “if possible.” That language manifests an intent to expand rather than dissolve the arbitral forum when third parties are present and weighs against bringing the arbitration into state court.

Third, dissolving an active arbitration in which substantial discovery, scheduling, and ruling has occurred, and which the parties affirmatively chose, would impose substantial prejudice on DPR’s bargained-for substantive right to limited judicial review and an expeditious arbitral resolution. (*Vandenberg v. Superior Court* (1999) 21 Cal.4th 815, 831

[“[b]y choosing private arbitration, parties ‘evinced [their] intent to bypass the judicial system and thus avoid potential delays at the trial and appellate levels.’ [Citation.]”) The Court accepts that section 1281.2(c) authorizes such consolidation in appropriate cases, (*Mercury Ins. Group, supra*, 19 Cal.4th at pp. 345–346), but declines to exercise that discretion here.

Fourth, as discussed below, the Court can mitigate the risk of inconsistent rulings without consolidating the arbitration into court, by compelling arbitration of the contractually arbitrable claims and staying the state-court action as to those claims and parties under section 1281.4. That approach respects both the contractual choice and the statutory framework.

Accordingly, the motion to consolidate the JAMS arbitration is DENIED.

IV. DPR’s Motion to Compel Mediation and Arbitration

DPR moves to compel mediation and arbitration and to stay proceedings, seeking to enforce the Prime Contract’s mediation and arbitration provision and to stay the consolidated state-court matters pending the conclusion of the JAMS arbitration.

Although the Federal Arbitration Act (“FAA”) governs the substantive enforceability of arbitration agreements that affect interstate commerce, California’s procedural rules (including Code of Civil Procedure section 1281.2) apply in California court unless the parties have expressly chosen the FAA’s procedural provisions. (*Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 393–394 (*Cronus*); *Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 177 (*Valencia*); *Los Angeles Unified Sch. Dist. v. Safety Nat’l Cas. Corp.* (2017) 13 Cal.App.5th 471, 482–483 (*LA Unified*).) Article 14.3 of the Prime Contract provides only that “[t]he Law in effect at the location of the Project shall govern this Agreement,” in other words, California law. Nothing in the Prime Contract designates the FAA’s procedural sections as the procedural rules governing the arbitration. Under *Cronus*, *Valencia*, and *LA Unified*, section 1281.2 therefore applies.

DPR’s supplemental brief candidly acknowledges this. (DPR Supplemental Brief, p. 17 [“the FAA’s procedural provisions do not apply in state court unless the parties expressly adopt them. The state’s procedural statutes (§§ 1281.2, 1290.2) apply by default”].) The Court finds no actual conflict between the FAA and section 1281.2 on these facts that would warrant

displacing California’s procedural framework. Accordingly, the motion is decided under section 1281.2.

Under Code of Civil Procedure section 1281.2, the Court must order arbitration of a controversy if it determines that an agreement to arbitrate exists, unless it determines that (a) the right to compel arbitration has been waived; (b) grounds exist for revocation of the agreement; or (c) “[a] party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact.”

Where subdivision (c) applies, the Court has broad discretion. It may: (1) refuse to enforce the arbitration agreement and order intervention or joinder; (2) order intervention or joinder as to certain issues; (3) order arbitration among the parties who agreed to arbitrate and stay the pending court action pending arbitration; or (4) stay the arbitration pending the outcome of the court action. (Code Civ. Proc. § 1281.2; *Mercury Ins. Group, supra*, 19 Cal.4th at pp. 345–346.) An opponent of arbitration need only show that conflicting rulings are “possible,” not inevitable. (*Lindemann v. Hume* (2012) 204 Cal.App.4th 556, 567 [the issue under section 1281.2 subdivision (c), “is not whether inconsistent rulings are inevitable but whether they are possible if arbitration is ordered”].)

The Court asked seven supplemental questions in its Order for Supplemental Briefing, discussed in turn below.

A. Scope of Arbitrability for Non-Signatories (Question 1)

The Court asked: “The arbitration clause in the agreement between Steleco and DPR appears contractually limited to those two parties. On what legal basis, if any, should the Court compel arbitration of disputes involving subcontractors who are not signatories to that specific agreement?” California recognizes several doctrines under which a non-signatory may be compelled to arbitrate: (a) incorporation by reference; (b) assumption; (c) agency; (d) alter ego; (e) equitable estoppel; and (f) third-party beneficiary. (*Cohen v. TNP 2008 Participating Notes Program, LLC* (2019) 31 Cal.App.5th 840, 859 (*Cohen*); *Jensen v. U-Haul Co. of California*

(2017) 18 Cal.App.5th 295, 306 (*Jensen*) [“[a] non-signatory plaintiff may be estopped from refusing to arbitrate when he or she asserts claims ‘dependent upon, or inextricable intertwined with,’ the underlying contractual obligations of the agreement containing the arbitration clause”].) The Court applies the foregoing principles to each category of party.

1. Steleco LLC

Steleco is a signatory to the Prime Contract and has affirmatively initiated and prosecuted the JAMS arbitration. Its claims against DPR are quintessential Article 13.5 disputes “arising out of” the Prime Contract. Steleco is bound to arbitrate.

Accordingly, the motion is GRANTED as to Steleco.

2. Kipling Post LP

Kipling Post did not sign the Prime Contract. Owners argue that for that reason it cannot be compelled to arbitrate. The Court disagrees on this record. Kipling Post is the actual record owner of the Project and is named alongside Steleco as a co-claimant in the JAMS arbitration demand it filed in November 2022. It has prosecuted that arbitration, paid arbitration fees, taken discovery, and attended hearings for more than three years. By voluntarily invoking the arbitration forum, Kipling Post is properly compelled under the doctrines of assumption and equitable estoppel. (*Cohen, supra*, 31 Cal.App.5th at p. 859 (assumption); *Jensen, supra*, 18 Cal.App.5th at p. 306 [estoppel where non-signatory’s claims are inextricably intertwined with the contract].) Kipling Post’s claims for breach of contract, defective workmanship, breach of implied warranty, and disgorgement against DPR are all dependent on the rights and duties created by the Prime Contract.

Accordingly, the motion is GRANTED as to Kipling Post.

3. DPR Construction

DPR is a signatory to the Prime Contract and the moving party. The motion is GRANTED as to DPR. The Court reminds DPR of its concurrent obligation under Article 13.4 to participate in mediation under the AAA Construction Industry Mediation Rules. The parties

shall mediate in good faith before further substantive arbitration hearings if they have not already done so to a conclusion.

4. The Subcontractors With “Standard” Flow-Down Provisions

The subcontracts produced on this record contain a flow-down clause that incorporates the Prime Contract’s dispute resolution procedures “as if fully set forth” and binds the subcontractor to participate in the same proceeding when the dispute involves Owner. As to those subcontractors, the flow-down clause is a written arbitration agreement directly binding the subcontractor. They are not “third parties” within the meaning of section 1281.2(c). (*Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 612 [“[a]s used in section 1281.2, subdivision (c), the term ‘third party’ means a party to the action that is not bound by or entitled to enforce the arbitration agreement”].)

Accordingly, the motion is GRANTED as to subcontractors holding “standard” flow-down provisions whose claims are presently before the court and involve, or are alleged to involve, acts or omissions of the Owner or are tied to the Owner–DPR dispute. Based on the record presented, this includes (subject to verification of the operative subcontract for each): Pacific States Environmental Contractors, Inc.; Acco Engineered Systems, Inc.; Air Systems, Inc.; Schnabel Foundation Company; Freas Plastering Company, Inc.; Alcal Specialty Contracting, Inc.; Alcal Glass Systems, Inc.; W. Bradley Electric, LLC; Pacific Steel Group, LLC; Academy Awning, Inc.; Alliance Roofing Company, Inc.; Anning-Johnson Company; Cornerstone Masonry, Inc.; Cosco Fire Protection, Inc.; George E. Masker, Inc.; Joseph J. Albanese, Inc.; Lee’s Imperial Welding, Inc.; Service Metal Products, Inc.; Superior Gunitex; and Therma LLC.

5. Subcontractors With “Owner Disapproval” Language (Bigge Crane and Berkeley Cement)

At least two subcontractors (Bigge Crane and Rigging Co. and Berkeley Cement, Inc.) have a Section 17.1 clause or provision that contains an additional qualifier providing that, in disputes involving Owner, “Contractor and Subcontractor will participate together in the same dispute resolution proceeding unless Owner or Contractor disapproves Subcontractor’s

participation.” Owners have expressly disapproved their participation in arbitration as to these two subcontractors. The clause is clear on its face and enforceable as it states.

Accordingly, the motion is DENIED as to Bigge Crane and Rigging Co. and Berkeley Cement, Inc. The state-court claims by and against those subcontractors will be stayed under section 1281.4 pending the conclusion of arbitration.

Should further review reveal that any other subcontract contains comparable “disapproval” language not yet briefed to the Court, the parties may move for clarification. The Court directs DPR to lodge complete copies of all subcontracts on the record within fifteen (15) days, in light of the assertion in Owners’ supplemental brief that some subcontracts have been produced only as work authorizations.

6. TK Elevator Corporation

TKE’s subcontract is materially different from the others. The TKE Master Subcontract Agreement substitutes Section 17.2.4 with the express provision that “*litigation shall be utilized in lieu of arbitration*” and provides that this amendment “shall have the highest priority over any conflicting language” in the subcontract. DPR concedes the language but contends that Sections 17.1, 17.3, and 17.5 still apply where Owner is involved.

The Court declines to adopt DPR’s reading. The TKE amendment is by its terms a deliberate, negotiated departure from the standard arbitration regime, with an express priority clause. Reading Sections 17.1, 17.3, and 17.5 to override the amendment would render the negotiated amendment a nullity. Because TKE has expressly preserved its right to litigate as to its disputes with DPR, and has unambiguously objected to participating in arbitration, the Court will respect TKE’s contracted-for forum choice.

Accordingly, the motion is DENIED as to TKE. The state-court claims by and against TKE shall be stayed under section 1281.4 pending the conclusion of the arbitration, to avoid inconsistent factual findings on overlapping issues.

7. KO Architects, Inc.

KO's 2017 design contract with Kipling Post predates the Prime Contract by sixteen months and contains no arbitration clause. The Owners owed a contractual obligation under Article 13.8 of the Prime Contract to bring KO into the same dispute-resolution forum, but they did not. That contractual breach is between Owners and DPR; it does not retroactively impose an arbitration agreement on KO.

DPR argues that KO is equitably estopped because KO's cross-complaint expressly invokes Article 11.1.1 of the Prime Contract for indemnity. Equitable estoppel is a colorable theory, but on this record the Court is not persuaded that KO's status as a contractually identified "Design Professional" entitled to indemnity is sufficient to override the absence of any arbitration agreement, particularly where KO has consistently disclaimed any intention to participate in the arbitration and the Owner-KO relationship is governed by an earlier, separate contract with no arbitration clause.

Accordingly, the motion is DENIED as to KO. Pursuant to section 1281.4, the state-court claims by and against KO shall be stayed pending the conclusion of the arbitration. KO's indication that it intends to file a motion for summary judgment will be addressed when the stay is lifted.

8. Hohbach-Lewin and Consolidated Engineering Laboratories

On this record, both Hohbach-Lewin and CEL hold separate professional services agreements with the Owners that contain no arbitration clause. Both also hold contracts with DPR. DPR proffers that the DPR/Hohbach-Lewin and DPR/CEL contracts each contain a Section 23 incorporating the Prime Contract's dispute resolution procedures whenever the Owner is "involved."

To the extent the claims by or against Hohbach-Lewin and CEL arise out of, or are inextricably intertwined with, their DPR contracts in disputes that involve Owner, those claims are arbitrable through the flow-down mechanism, on the same logic that governs the standard subcontractors above. To the extent claims arise solely under the separate Owner-direct

professional services agreements that contain no arbitration clause, those claims are not arbitrable.

Accordingly, the Court tentatively GRANTS the motion as to Hohbach-Lewin and CEL on claims tied to their DPR contracts, and DENIES the motion as to claims arising solely from their separate Owner-direct contracts; those latter claims shall be stayed under section 1281.4 pending arbitration. The parties may seek further clarification upon a more complete showing of the operative agreements.

9. DPR Employees Amelia Kraus and Robert Skinner

Owners have named two DPR employees as defendants in the Defect Lawsuit. Where the claims against these individuals are derivative of DPR's alleged breaches of the Prime Contract and are within the scope of their employment, the claims are inextricably intertwined with DPR's arbitration agreement, and equitable estoppel principles permit them to invoke that agreement.

Accordingly, the motion is GRANTED as to Kraus and Skinner.

B. Severability of Claims (Question 2)

The Court asked: "Can the Court legally compel a portion of the claims to arbitration while retaining jurisdiction over others for a civil trial?" Yes. Section 1281.2 expressly contemplates the partial arbitration outcome: when a controversy presents both arbitrable and non-arbitrable issues, the Court may order the arbitrable issues to arbitration and stay the remainder. Section 1281.4 makes that stay mandatory upon request. The Court may also elect to retain non-arbitrable claims while staying them pending the arbitral award, where doing so will mitigate inconsistent rulings.

Here, the arbitrable claims are: Owners' breach of contract, warranty, negligence, indemnity, and contract-based declaratory relief claims against DPR (Counts 1, 5, 6, 7, 10, 12, 14); the section 7031 disgorgement claim against DPR (Count 13); and DPR subcontractor cross-claims tied to flow-down agreements. The non-arbitrable claims are Owners' claims against KO Architects, HL, CEL (on the direct contract), and TKE. DPR's mechanic's-lien

remedies are preserved by Article 13.9 of the Prime Contract; the underlying contract dispute giving rise to the lien remains arbitrable.

C. Risk of Contradictory Rulings (Question 3)

The Court asked: “In the event of a ‘split’ proceeding . . . what specific risks exist regarding inconsistent or contradictory rulings, and how should the Court mitigate those risks under relevant statutes (e.g., CCP § 1281.2)?” Here, the risks are real and substantial. Owners allege that the Project has both design and construction defects. The construction defendants will likely attribute responsibility to the design professionals, and the design professionals (KO, HL) will likely attribute responsibility to construction means and methods. If the arbitrator finds that the construction work met applicable standards because the contractors followed defective design instructions, Owners will still need to prove the design-defect theory in court. A jury could disagree, leaving Owners without a recovery on either side. The reverse risk also exists: a court finding of acceptable design could be undermined by an arbitral finding that the construction work was sound but unspecified design defects caused the loss. Section 1281.2(c) was enacted precisely to address this scenario. (*Mercury Ins. Group*, supra, 19 Cal.4th at pp. 345–346.)

In this case, the Court will mitigate the risk in two ways. First, the Court will compel arbitration of the subcontractor claims that are subject to valid arbitration agreements, so that the arbitrator can resolve the bulk of the construction-side disputes in a single forum. Second, the Court will stay the court action as to KO Architects, HL, CEL (on the Owners’ direct contract), and TKE pending the arbitral award. That order of events will allow the arbitrator’s findings on construction and causation to provide context for the design-side claims when they later proceed in this Court, without binding the design-side defendants in a forum to which they did not consent. The Court will then resolve any remaining design-side issues with the benefit of a developed factual record.

D. Validity of Subcontractor Stipulations (Question 4)

The Court asked: “The parties must provide an updated, definitive list of stipulating parties [and] brief the scope of an attorney's authority to stipulate to arbitration on behalf of a client and whether extrinsic evidence (such as the signatures of the principals) is required to validate these stipulations.” Under *Blanton v. Womancare, Inc.* (1985) 38 Cal.3d 396, 407 (*Blanton*), “it is established that an attorney does not have implied plenary authority to enter into contracts on behalf of his client. [Citations.]” Thus, actual authority is required to bind a client to arbitration. The counsel-signed draft stipulation, standing alone, is insufficient. The Court is satisfied, however, that subcontractors who have filed joinders to DPR’s motion or are represented by counsel who have joined the motion have ratified arbitration through litigation conduct. DPR is granted leave to cure the *Blanton* issue as to any other subcontractor within thirty (30) days by submitting joinders or principal-signed declarations of actual authority. The Court does not need to rely on the stipulations as to any subcontractor whose subcontract independently contains a flow-down arbitration provision; the contract itself provides the necessary basis.

The Court accepts Owners’ chart at pages 13–15 of their supplemental brief as a working list of stipulating, joining, and non-consenting parties, subject to update upon DPR’s submission of any additional ratifying joinders or declarations.

E. Effect of Non-Consenting Parties (Question 5)

The Court asked: “At least one subcontractor (TK Elevator) has filed an objection. How does the presence of non-consenting subcontractors — whose separate contracts with DPR may require arbitration — affect the Court's discretion to compel arbitration in the global Steleco matter?” Here, TKE is not only “non-consenting”; it is contractually outside the arbitration framework. Section 17.2.4 of the TKE MSA, which TKE expressly negotiated, provides that “litigation shall be utilized in lieu of arbitration” and gives that amendment “the highest priority over any conflicting language.” DPR’s argument that the standard Section 17.1 dispute provisions override TKE’s negotiated amendment is not consistent with ordinary principles of contract interpretation, which give effect to specific, bargained-for terms over general boilerplate. (See Civ. Code, § 3534.)

TKE's status reinforces the section 1281.2(c) discretion to keep at least some of the Project disputes in this Court. TKE is a Project participant whose work is implicated in Owners' defect allegations; an arbitrator's findings on related construction issues could impact, but cannot bind, TKE. The Court therefore (a) denies the motion to compel as to TKE, and (b) factors TKE's continued presence in this Court into the section 1281.2(c) discretion to deny arbitration as to the design professionals as well.

F. FAA Preemption – Directed to DPR (Question 6)

The Court asked: “Is there an actual conflict between the Federal Arbitration Act and Code of Civil Procedure section 1281.2?” DPR's supplemental brief directly answers “No.” (DPR Supplemental Brief, p. 17). The Court agrees. The *Cronus* line of authority is settled: section 1281.2(c) is procedural, and the FAA's procedural provisions do not displace it in California court absent an express adoption in the parties' agreement. As there is no such express adoption in the Prime Contract, section 1281.2(c) governs.

G. Lapse in Licensure (Question 7)

An alleged section 7031 violation does not invalidate an arbitration agreement at the threshold. (*Templo Calvario Spanish Assembly of God v. Gardner Constr. Corp.* (2011) 198 Cal.App.4th 509, 519 [“entering into a contract with a contractor who is later shown to be unlicensed at the time of execution of the contract does not automatically render the contract void”]; Bus. & Prof. Code § 7031(f) [contemplating “actions or arbitrations”].) *Loving & Evans v. Blick* (1949) 33 Cal.2d 603 and *Lindenstadt v. Staff Builders, Inc.* (1997) 55 Cal.App.4th 882 involved parties who were undisputedly unlicensed at all relevant times (in contrast to the contested record here). Owners' concerns are protected by the standard of review under *Ahdout, supra*, 213 Cal.App.4th at pp. 38–39 (an arbitral award implicating section 7031 is subject to mandatory de novo judicial review).

Accordingly, the disgorgement claim shall proceed in arbitration with full reservation of this Court's de novo review of any award turning on DPR's licensure.

V. Conclusion and Order

For the reasons set forth, the Court tentatively rules as follows:

1. Owners' Motion to Consolidate is GRANTED IN PART and DENIED IN PART.
 - a. The motion is GRANTED in that Cases 22CV404194, 23CV416531, 23CV418900, and 24CV439209 are consolidated for all purposes through trial under Lead Case No. 22CV400012.
 - b. The motion is DENIED in that the Court declines to consolidate JAMS Case No. 5100000724 into the state-court proceeding. The arbitration shall continue before Arbitrator Duryee.
2. DPR's Motion to Compel Mediation and Arbitration is GRANTED IN PART and DENIED IN PART.
 - a. The motion is GRANTED as to: Steleco LLC; Kipling Post LP; DPR Construction; subcontractors holding the standard flow-down arbitration provision (as identified herein); Hohbach-Lewin, Inc.; Consolidated Engineering Laboratories on claims arising under their respective contracts with DPR; and DPR employees Amelia Kraus and Robert Skinner.
 - b. The motion is DENIED as to: KO Architects, Inc.; TK Elevator Corporation; Bigge Crane and Rigging Co.; Berkeley Cement, Inc.; and as to claims arising solely under the Owner-direct professional services with Hohbach-Lewin and Consolidated Engineering Laboratories.
 - c. The parties shall complete mediation under the AAA Construction Industry Mediation Rules (Article 13.4) before further substantive arbitration hearings if they have not already done so to a conclusion. The arbitrator may, in her discretion, set a mediation deadline.
 - d. Owners' 13th cause of action for disgorgement under Business and Professions Code section 7031 shall proceed in arbitration with all other Owner-DPR claims. The Court reserves de novo review under *Ahdout v. Hekmetjah* (2013) 213 Cal.App.4th 21.

3. All proceedings in this Court are STAYED pending the outcome of arbitration to mitigate the risk of inconsistent rulings (Code Civ. Proc., §§ 1281.2, 1281.4), except for (a) ministerial matters relating to mechanics lien releases or bonds that do not require adjudication of the underlying merits, and (b) any further proceedings the Court orders. KO Architects, Inc.'s anticipated motion for summary judgment may be filed and heard after the stay is lifted.

The Court will prepare the Order.

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Line 3 (Calendar Line 17)

Case Name: *Stoner et al. v. Contract Sweeping Services, LLC et al.*
Case No.: 23CV410973

This is a putative class and representative action arising from alleged wage and hour violations. In the operative Second Amended Complaint, Plaintiff Darcel Stoner alleges wage and hour claims against Defendants WSSH CSS, LLC (“CSS”) and SCA of CA, LLC (“LLC”). Plaintiff and Defendant CSS have reached a settlement, while Plaintiff and Defendant SCA remain engaged in motion practice.

Before the Court is Plaintiff’s motion for preliminary approval of her settlement with Defendant CSS. The motion is unopposed. As discussed below, the Court GRANTS the motion for preliminary approval and sets a final approval hearing for December 16, 2026 at 1:30 p.m. in Department 19.

I. Legal Standard

“In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Similar to its review of class action settlements, a trial court must “review and approve” any settlement of an action filed under the Private Attorneys General Act (“PAGA”). (Lab. Code, § 2699, subd. (s)(2).) Labor Code section 2699, subdivision (l)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The trial court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA

penalties below the statutory maximum. (*Carrington v. Starbucks Corp.* (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

II. Discussion

A. Provisions of the Settlement

This case, as against Defendant CSS (hereinafter, “Defendant”), has been settled on behalf of the following class:

All persons employed by Defendant in California as a non-exempt, hourly W-2 employee during the Class Period [February 8, 2019 through February 23, 2022] who performed street sweeping work in California pursuant to Defendant’s contracts with public entities, municipalities, and/or cities.

(Declaration of Taylor B. Graham in Support of Preliminary Approval (“Graham Decl.”), Ex. 1 (“Agreement”), ¶ 1.5, 1.12.) The settlement also includes a group of PAGA “Aggrieved Employees,” defined as, “a person employed by Defendant in California as a non-exempt, hourly W-2 employee who performed street sweeping work in California pursuant to Defendant’s contracts with public entities, municipalities, and/or cities at any time during the PAGA Period.” (*Id.* at ¶ 1.4.)

Defendant will pay a gross settlement amount of \$1,300,000. (See Memorandum, pp. 7:10–8:10.) The gross settlement amount includes attorney fees of up to one-third of the gross settlement amount (\$429,000); litigation costs up to \$8,261.40; a PAGA allocation of \$10,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments); a service payment of up to \$5,000; and settlement administration costs up to \$5,090. The Agreement provides that Apex Class Action, LLC (“Apex”) will serve as the neutral entity that will administer the settlement. The Court appoints Apex as the settlement administrator. The Agreement further provides that funds from uncashed settlement checks will be transmitted to Hire Heroes USA as *cy pres* recipient. The Court approves the *cy pres* designation.

In exchange for the settlement, the class members agree to release Defendant and related entities and persons (not including Defendant SCA) from “claims that were alleged, or

that could have been alleged, in the Second Amended Complaint, including but not limited to (i) failure to pay all regular wages, minimum wages and overtime wages due, including without limitation alleged failure to pay prevailing wages; (ii) failure to provide complete, accurate wage statements; (iii) failure to pay wages timely at time of termination or resignation; (iv) unfair business practices, and any other allegations that reasonably could have been premised on the claims, causes of action or legal theories of relief described above or any of the claims, causes of action or legal theories of relief pleaded in the operative complaints or which reasonably could have been alleged therein (collectively, the Released Claims). . . .” (Agreement, ¶¶ 1.41, 5.2.) PAGA Employees will be deemed to release Defendant and related entities and persons from “all claims under the California Labor Code Private Attorneys General Act of 2004 or for civil penalties that could have been premised on the claims, causes of action, or legal theories described above or any of the claims, causes of action or legal theories of relief pleaded in the operative complaints. . . .” (*Id.* at ¶¶ 1.41, 5.3.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the Agreement meets the standards for preliminary approval. (Memorandum, pp. 15:8–17:18; Graham Decl., ¶¶ 30–38.) Plaintiff’s counsel explains that the parties participated in mediation with Michael Mandel, Esq., on November 22, 2024, prior to which Defendant produced substantial pre-mediation discovery. (Graham Decl., ¶¶ 18–19.) According to the exposure analysis provided by Plaintiff’s counsel, Defendant’s estimated total exposure for all claims is approximately \$23,119,854.57, while Defendant’s estimated risk-adjusted exposure for all claims is approximately \$12,840,456.01. (*Id.* at ¶¶ 17–18.)

The gross settlement amount of \$1,300,000 represents approximately 5.6 percent of Defendant’s estimated total maximum exposure, which is within the general range of percentage recoveries that California courts have found to be reasonable. Plaintiff’s counsel has explained the rationale supporting the settlement amount.

The Court has reviewed Plaintiff's written submissions and is satisfied that the settlement is fair and may be approved.

C. Service Award, Fees and Costs

Plaintiff will seek a service award of \$5,000. Plaintiff has submitted a declaration describing her participation in this litigation. The Court is inclined to find that a service award is warranted and the amount requested is reasonable. The Court will issue its final determination regarding the approved amount in connection with final approval of the settlement.

Class counsel will seek attorney fees of up to one-third of the gross settlement amount (\$429,000). Prior to the final approval hearing, class counsel shall submit lodestar information (including hourly rates and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of Class

Plaintiff requests the class be conditionally certified for purposes of the settlement. California Code of Civil Procedure section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court ..."

Plaintiff states there are approximately 157 class members who can be identified from a review of Defendant's records. The Court finds that there are common questions regarding whether class members were subjected to unlawful conduct and that proposed class may be conditionally certified for settlement purposes.

E. Class Notice

California Rules of Court, rule 3.769, subdivision (f), provides, "If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections

to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.”

Here, the form of the notice is generally adequate subject to the modifications set forth below. It describes the lawsuit, explains the settlement, and states the settlement amounts, including attorney fees and payment to the named plaintiff. The notice informs class members that they may appear at the final fairness hearing to make an oral objection without filing a written objection.

The following language regarding the final approval hearing shall be added to the notice:

Class members may appear at the final approval hearing in person or remotely using the link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:

<https://santaclara.courts.ca.gov/online-services/remote-hearings>

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above change to the notice prior to its mailing, the notice is approved.

IV. Conclusion

The Court GRANTS the motion for preliminary approval and sets a final approval hearing for December 16, 2026 at 1:30 p.m. in Department 19.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Line 4 (Calendar Line 18)

Case Name: *Fernandez v. Suddath Relocation Systems of Northern California, Inc. et al.*
Case No.: 23CV421591

This is a putative class and representative action arising from alleged wage and hour violations. The parties have reached a settlement, and the Court has granted Plaintiff's unopposed motion for preliminary approval of the settlement. Now before the Court is Plaintiff's unopposed motion for final approval of the settlement. As discussed below, the Court GRANTS the motion and sets a compliance hearing for February 24, 2027 at 2:30 p.m. in Department 19.

I. Legal Standard

"In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Id.* at p. 245.) The most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Labor Code section 2699, subdivision (1)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" the Private Attorneys General Act ("PAGA"). Where, as here, a PAGA notice is filed before June 19, 2024, seventy-five percent of any penalties recovered go to the Labor and Workforce Development Agency ("LWDA"), leaving the remaining twenty-five percent for the employees. The trial court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the

statutory maximum. (*Carrington v. Starbucks Corp.* (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

II. Terms and Administration of Settlement

A. Provisions of the Settlement

This case has been settled on behalf of the following class:

[[A]]ll current and former non-exempt employees employed by Defendant Suddath Van Lines, Inc. in California at any time during the Class Period [August 25, 2019 through May 31, 2024]

(Declaration of Charles T. Sweeny in Support of Preliminary Approval, Ex. 1 (“Agreement”), ¶¶ 7(d), 7(f).) The settlement includes a subset group of PAGA Employees, defined as: “all current and former non-exempt employees employed by Defendant Suddath Van Lines, Inc. in California at any time during the PAGA Period [June 20, 2022 through May 31, 2024].” (*Id.* at ¶¶ 7(y), 7(aa).)

Defendant will pay a gross settlement amount of \$475,000, an amount that includes: attorney fees of up to 35 percent of the gross settlement amount (\$166,250); litigation costs not to exceed \$15,000; a PAGA penalties allocation of \$50,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments); a service payment of up to \$10,000 to Plaintiff; and settlement administration costs up to \$7,500. (Motion, pp. 3-4; Agreement, ¶¶ 7(q), 11, 12, 13, 14.) The net settlement amount will be distributed to participating class members on a pro-rata basis according to the number of workweeks they worked during the Class Period, and individual PAGA payments will be distributed according to the number of workweeks worked during the PAGA Period. (Agreement, ¶¶ 15, 16.)

The Agreement provides that Simpluris, Inc. (“Simpluris”) will serve as settlement administrator. The parties have also agreed to designate Legal Aid at Work as *cy pres* recipient in accordance with Code of Civil Procedure section 384, and the Court approves this designation.

In exchange for the settlement, the class members agree to release Defendant and related entities and persons from “all claims, actions, or cause of action alleged in the Class Complaint or that could have been alleged based upon the facts alleged in the Class 23 Complaint, arising during the Class Period....” (Agreement, ¶¶ 7(ee), 7(gg).) PAGA Employees will be deemed to release Defendant and related entities and persons “all claims for civil penalties under the Private Attorneys General Act, California Labor Code section 2698, et seq. that were alleged in the PAGA Notice and PAGA Complaint in the PAGA Action or that reasonably could have been alleged based on the factual allegations in the PAGA Notice and PAGA Complaint in the PAGA Action, arising during the PAGA Period....” (*Id.* at ¶¶ 7(ff), 7(gg).) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

In its order granting Plaintiff’s motion for preliminary approval, the Court approved Simpluris as settlement administrator. On February 13, 2026, Defendant delivered class data to Simpluris with 96 individuals on the Class List. (Declaration of Bentley Conn on Behalf of Simpluris (“Conn Decl.”) ¶ 5.) On February 25, 2026, Simpluris mailed Class Notices to the 96 individuals on the Class List and later re-mailed four class notices to updated addresses. (*Id.* at ¶¶ 7-8.) For the Class Notices mailed on February 25, 2026, the deadline to request an exclusion, submit an objection, or submit a dispute was April 11, 2026. (*Id.* at ¶ 11.) The deadline for the re-mailed class notices was April 27, 2026. (*Ibid.*) As of the date of Mr. Conn’s declaration, April 21, 2026, Simpluris had received one request for exclusion, zero objections, and zero disputes. (*Id.* at ¶¶ 13-15.) It does not appear that Simpluris has provided a supplemental declaration advising whether it received any requests for exclusion, objections, or disputes after the date of Mr. Conn’s declaration but before the deadline for those receiving the re-mailed class notices. Nevertheless, according to Mr. Conn’s declaration, only four individuals were sent the re-mailed notices. Simpluris estimates the average individual settlement share will be approximately \$2,430.88. (*Id.* at ¶ 17.) The notice process has now been completed.

At preliminary approval, the Court found the settlement to be fair and reasonable. Given that there are no objections, it finds no reason to deviate from that finding now. Accordingly, the Court finds that the settlement is fair and reasonable for purposes of final approval.

III. Service Award, Attorney Fees and Costs

Plaintiff seeks a service award of \$10,000.

An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Service awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S. Dist. LEXIS 29837, at *29.)

Plaintiff has provided a declaration describing her participation in this action and her understanding of her responsibilities as class representative, although she has not provided an estimate of the number of hours she has spent working on this litigation. Plaintiff’s attorneys represent that Plaintiff has spent a substantial amount of time and effort working on this litigation. (Declaration of Vartan Madoyan in Support of Final Approval (“Madoyan Decl.”), ¶ 20; Declaration of Charles T. Sweeney in Support of Final Approval (“Sweeney Decl.”), ¶ 20.) Having reviewed and considered Plaintiff’s declaration, the Court finds that a service award is justified and the amount requested is appropriate. Therefore, the service award is approved in the amount requested.

Plaintiff’s counsel seeks an attorney fee award of \$166,250 (35 percent of the gross settlement amount) to be split between the two firms. (Memorandum, pp. 13:12–23:7; Sweeney Decl., ¶¶ 6–14; Madoyan Decl., ¶¶ 5–13 .) Plaintiff’s attorneys state that the combined lodestar

for the services of the two firms is \$200,790. (Memorandum, p. 21:9–13; Sweeney Decl., ¶ 12; Madoyan Decl., ¶ 13.) The benefits achieved by the settlement justify an award of attorney fees to class counsel. The Court approves an attorney fee award in the requested amount of \$166,250.

Plaintiffs’ attorneys request reimbursement of litigation costs in the amount of \$10,816.34. (Memorandum, pp. 21:23–22:7; Madoyan Decl., ¶ 19 and Ex. 2.) The Court approves reimbursement of litigation costs in the requested amount. The settlement administration costs are also approved in the requested amount of \$7,000. (See Conn Decl., ¶ 21.)

IV. Conclusion

The Court GRANTS the motion for final approval of the settlement and sets a compliance hearing for February 24, 2027 at 2:30 p.m. in Department 19.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Line 5 (Calendar Line 19)

Case Name: *Brown v. Veoride, Inc.*
Case No.: 23CV421642

This is a putative class and representative action arising from alleged wage and hour violations. The parties have reached a settlement, and the Court has granted Plaintiff's unopposed motion for preliminary approval of the settlement. Now before the Court is Plaintiff's unopposed motion for final approval of the settlement. As discussed below, the Court GRANTS the motion and sets a compliance hearing for February 24, 2027 at 2:30 p.m. in Department 19.

I. Legal Standard

"In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Id.* at p. 245.) The most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Labor Code section 2699, subdivision (1)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" the Private Attorneys General Act ("PAGA"). The trial court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the statutory maximum. (*Carrington v. Starbucks Corp.* (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

II. Terms and Administration of Settlement

A. Provisions of the Settlement

This case has been settled on behalf of the following class:

[A]ll persons who are or were employed by Defendant in California and classified as non-exempt employees during the Class Period [August 29, 2019, through June 17, 2025], excluding any individuals who previously executed a severance agreement with Defendant that included a general release of claims.

(Declaration of Mehrdad Bokhour in Support of Preliminary Approval, Ex. A (“Agreement”), ¶¶ 7, 39.) The settlement includes a subset PAGA class of Aggrieved Employees, defined as: “all persons who are or were employed by Defendant in California and classified as non-exempt or hourly employees at any time during the Class Period from August 29, 2019, through June 17, 2025. (*Id.* at ¶ 2.)

Defendant will pay a gross settlement amount of \$625,000, which includes: attorney fees of up to one-third of the gross settlement amount (i.e., \$208,333.33); litigation costs not to exceed \$25,000; a PAGA allocation of \$20,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments); a service payment of up to \$10,000 to Plaintiff; and settlement administration costs up to \$5,000. (Motion, p. 1; Agreement, ¶ 47(a)–(h).) The net settlement amount will be distributed to participating class members on a pro-rata basis according to the number of workweeks they were employed by Defendant, and individual PAGA payments will be distributed according to the number of pay periods worked. (Agreement, ¶ 48.) The parties propose that Phoenix Class Action Administration Solutions (“Phoenix”) will serve as settlement administrator. The Agreement provides that any funds from uncashed settlement checks will be transmitted to Legal Aid at Work. (*Id.* at ¶ 73, p. 21:18–19.) The Court approves the *cy pres* designation.

In exchange for the settlement, the class members agree to release Defendant and related entities and persons from “all claims, transactions, or occurrences, including but not limited to: (a) all claims that were alleged, or reasonably could have been alleged, based on the facts stated in the [FAC].” (Agreement, ¶¶ 4, 9, 50–51.) Aggrieved Employees will be deemed to release Defendant and related entities and persons “from all claims for civil penalties under

the California Labor Code Private Attorneys General Act of 2004 (“PAGA”), Labor Code §§ 2698–2699.5, that were alleged in the PAGA Notice submitted to the California Labor and Workforce Development Agency (“LWDA”), or that reasonably could have been alleged based on the facts stated therein, during the PAGA Period.” (*Id.* at ¶¶ 57–58.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

In its order granting Plaintiff’s motion for preliminary approval, the Court approved Phoenix as settlement administrator. On December 2, 2025, Defendant delivered class data to Phoenix with 250 individuals on the Class List. (Declaration of Lluvia Islas on Behalf of Phoenix (“Islas Decl.”) ¶ 5.) On December 19, 2025, Phoenix mailed Class Notices to the 250 individuals on the Class List. (*Id.* at ¶ 5 and Ex. A.) The deadline to request an exclusion, submit a written objection, or submit a dispute was February 2, 2026. As of the date of Ms. Islas’s declaration, May 6, 2026, Phoenix had received one request for exclusion, zero objections, and one workweek dispute. (*Id.* at ¶¶ 8–10.) Phoenix estimates the average individual settlement share will be approximately \$1,471.60. (*Id.* at ¶ 14.) The notice process has now been completed.

At preliminary approval, the Court found the settlement to be fair and reasonable. Given that there are no objections, it finds no reason to deviate from that finding now. Accordingly, the Court finds that the settlement is fair and reasonable for purposes of final approval.

III. Service Award, Attorney Fees and Costs

Plaintiff seeks a service award of \$10,000.

An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Service awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S. Dist. LEXIS 29837, at *29.)

Plaintiff has provided a declaration describing his work on this case. The Court finds that a service award is appropriate and the amount requested is reasonable under the circumstances. The service award is approved in the amount requested.

Plaintiff's counsel seeks an attorney fee award of \$208,333.33 (one third of the gross settlement amount) to be split between two firms. (Memorandum, pp. 9:14–16:2; Declaration of Mehrdad Bokhour in Support of Final Approval, ¶¶ 17–22 (“Bokhour Decl.”); Declaration of Joshua Falakassa in Support of Final Approval, ¶¶ 13 – 19.) Plaintiff's attorneys state that the combined lodestar for the services of the two firms is \$113,787.50. This results in a multiplier of 1.83. The benefits achieved by the settlement justify an award of attorney fees to class counsel. The Court approves an attorney fee award in the requested amount of \$208,333.33.

Plaintiff's attorneys request reimbursement of litigation costs in the amount of \$15,239.27. (Memorandum, p. 16:4–14; Bokhour Decl., ¶ 22.) The Court approves reimbursement of litigation costs in the requested amount. Settlement administration costs are approved in the requested amount of \$5,000. (Islas Decl., ¶ 17 and Ex. B.)

IV. Conclusion

The Court GRANTS the motion for final approval of the settlement and sets a compliance hearing for February 24, 2027 at 2:30 p.m. in Department 19.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Line 6 (Calendar Line 20)

Case Name: *Wright et al. v. Crossroads Trading Co., Inc.*
Case No.: 25CV479119

This is a putative class action arising from Defendant Crossroads Trading Co., Inc. alleged failure to protect and safeguard class members' personally identifiable information in the course of its retail business practices, resulting in an unauthorized third-party gaining access to encrypted customer data on its network. On or about February 15, 2025, Defendant experienced a data security incident that allegedly impacted private information including names, dates of birth, addresses, Social Security numbers, financial account information, driver's license numbers, and passport information. Multiple lawsuits were filed in federal court and subsequently consolidated as *In re: Crossroad Trading, Inc. Data Breach Litigation* (N.D. Cal.) Case No. 3:25-cv-03128-JD.

On September 16, 2025, the plaintiffs in the consolidated federal action filed a Notice of Voluntary Dismissal Without Prejudice. On October 31, 2025, plaintiffs Sedre Wright, Megan Koester, Juanita Medina, LaSean Tardd, Adrine Akopyan, and Alisa Smith ("Plaintiffs") commenced this action by filing a Complaint, asserting causes of action for: (1) negligence and negligence per se; (2) breach of implied contract; (3) unfair competition in violation of the Business and Professions Code section 17200 et seq.; and (4) violation of California's Consumer Privacy Act ("CCPA"), Civil Code section 1798.100 et seq.

Plaintiffs now move for preliminary approval of a class action settlement with Defendant. As discussed below, the Court GRANTS the motion for preliminary approval, VACATES the Case Management Conference set for 2:30 p.m. on May 13, 2026, and sets a final approval hearing for January 13, 2027 at 1:30 p.m. in Department 19.

I. Legal Standard

"In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds by

Hernandez v. Restoration Hardware, Inc. (2018) 4 Cal.5th 260.) The most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

II. Discussion

A. Provisions of the Settlement

This case has been settled on behalf of the following class:

All individuals residing in the United States whose Private Information may have been compromised or otherwise impacted in the Data Security Incident, including all those who received notice of the breach.

(Declaration of John J. Nelson (“Nelson Decl.”), Ex. 2 (“Agreement”), ¶ 1.47.) Defendant estimates the Settlement Class as defined includes approximately 60,041 individuals. (*Ibid.*)

Defendant will pay a non-reversionary common fund amount of \$600,000. (See Memorandum, pp. 4:8 – 6:20.) The common fund amount includes attorney fees and costs of up to one-third of the common fund (\$200,000) and a service payment of up to \$2,500 for each Representative Plaintiff. Settlement Class Members will be entitled to make a claim for up to \$5,000 in losses incurred, as supported by reasonable documentation, or they may alternatively make a claim for an Alternative Class Payment distributed on a pro rata basis. The Agreement’s allocation plan is designed to exhaust the Settlement Fund such that monies remaining more than 120 days after the distribution of payments will be distributed evenly to Class Members who cased their initial payments, “whereupon the amount remaining in the Net Settlement Fund, if any, shall be distributed to the Boys & Girls Clubs of Oakland, California.” (Agreement, ¶ 3.11.) The Agreement provides that Kroll Settlement Administration, LLC (“Kroll”) will serve as the neutral entity that will administer the settlement. The Court approves of the *cy pres* designation and appoints Kroll as settlement administrator.

In exchange for the settlement, the class members agree to release Defendant and related entities and persons from “claims or causes of action of every kind and description, which accrued during the Release Period [February 15, 2025, until the entry of a Preliminary Approval Order], including any causes of action in law, claims in equity, complaints, suits or

petitions, and any allegations of wrongdoing, demands for legal, equitable or administrative relief (including, but not limited to, any claims for injunction, rescission, reformation, restitution, disgorgement, constructive trust, declaratory relief, compensatory damages, consequential damages, penalties, exemplary damages, punitive damages, attorneys' fees, costs, interest or expenses)—whether known or unknown—arising from or related to the Data Security Incident in any way, that have or could have been asserted in the State Court Lawsuit or Consolidated Federal Lawsuit.” (Agreement, ¶¶ 1.39; 1.41; 1.42; 4.1.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiffs contend that the Agreement meets the standards for preliminary approval. (Memorandum, pp. 10:3–16:3; Nelson Decl., ¶ 26.) Plaintiff asserts that the proposed settlement compares favorably to other data breach settlements. (Memorandum, pp. 11:7–17.) Plaintiff’s counsel explains that the parties exchanged informal discovery and engaged in arms-length negotiations before finalizing the Agreement. (Nelson Decl., ¶¶ 9–11.) Plaintiff’s counsel contends the Agreement’s claims process is necessary to allow California residents to self-identify in order demonstrate eligibility for the California Statutory Cash Payment and to allow Class Members with documented losses to submit claims for reimbursement of up to \$5,000 in losses attributable to the data security incident that prompted this litigation. (*Id.* at ¶¶ 15–16.)

Counsel asserts they have negotiated a statutory claim benefit of \$100 per claimant which is within the CCPA’s statutory damages range of \$100 to \$750 per individual. (Nelson Decl., ¶ 17; Civ. Code § 1798.150, subd. (a)(1)(A).) Counsel further explains that the negligence and breach of contract claims are difficult to value because there have to date been no such data breach cases tried to verdict, and that under a market theory, Plaintiffs may have been able to recover up to \$25 per person. (Nelson Decl., ¶ 18.) Counsel asserts that the UCL claim mainly adds injunctive relief only because restitution would be difficult to prove. (*Id.* at ¶ 19.)

Plaintiffs point to two data breach settlements in which the recoveries equated to \$0.10 per member (*In re Target Corp. Customer Data Sec. Breach Litig.* (D. Minn. May 17, 2017) 2017 U.D. Dist. LEXIS 75455, at *5, *aff'd*, 892 F.3d 968, 979 (8th Cir. 2018)) and \$0.61 per member (*In re Yahoo! Inc. Customer Data Sec. Breach Litig.* (N.D. Cal. July 22, 2020) Case. NO. 16-MD-02753-LHK, 2020 U.S. Dist. LEXIS 129939, at *47). (Memorandum, p. 11:7-17.) Based on the Court's research, recovery in data breach cases can sometimes be higher. (See *Berry v. Refresco Bevs. U.S. Inc.* (M.D. Fl. April 13, 2026) 2026 U.S. Dist. LEXIS 80342, at *38 (approving settlement with value-per-claim of \$30.65); see also *Lopez v. NLP, LLC* (C.D. Cal. December 4, 2025) 2025 U.S. Dist. LEXIS 270892, at *33-35 (approving settlement with average value per class member of \$96.67).

In this case, Plaintiffs' counsel has sufficiently explained the rationale supporting the settlement amount, including the fact that damages models for class-wide data breach cases remain untested and that few data breach cases have been certified outside the settlement context. The settlement eliminates the risk of litigation and provides immediate and certain relief. The recovery amount and structure are reasonable giving the litigation risks and the range of potential damages. The Court also finds that the consolidated federal action does not bar approval of the proposed settlement because the parties have stipulated to dismiss the federal action without prejudice and plaintiffs filed a notice of dismissal in that action. (*Bechuk v. Home Depot USA, Inc.*, (5th Cir. 2015) 814 F.3d 287 ["notice of dismissal is self-effectuating and terminates the case in and of itself"]; FRCP 41(a)(1)(A)(ii) [plaintiff may voluntarily dismiss an action without leave of the court by stipulation of all parties].)

The Court has reviewed Plaintiff's written submissions and is satisfied that the settlement is fair and may be approved.

C. Service Award, Fees and Costs

Plaintiffs will seek service awards of up to \$2,500 each. (Memorandum, p. 6:11–20.) Plaintiffs have submitted declarations describing their participation in this litigation. (Nelson Decl., ¶ 24 and Ex. 4–9.) The Court is inclined to find that the requested service awards are

justified and reasonable, and it will issue its final determination regarding the approved amount in connection with final approval of the settlement.

Class counsel will seek attorney fees of up to one-third of the gross settlement amount (\$200,000). Prior to the final approval hearing, class counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of Class

Plaintiff requests the class be conditionally certified for purposes of the settlement. California Code of Civil Procedure section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court ...”

Plaintiff states there are approximately 60,041 class members who can be identified from a review of Defendant’s records. The Court finds that there are common questions regarding whether class members were subjected to unlawful conduct and that proposed class may be conditionally certified for settlement purposes.

E. Class Notice

California Rules of Court, rule 3.769, subdivision (f), provides, “If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.”

Here, the proposed notice plan satisfies due process and the requirements of Rule 3.769. The notice plan includes a direct mail notice, a settlement website, and a toll-free number. The form of the notice is generally adequate, subject to the modification set forth below. It describes the lawsuit, explains the settlement and releases, includes instructions for claiming benefits, and states the settlement amounts, including attorney fees and payment to

the named plaintiff. The notice informs class members that they may appear at the final fairness hearing to make an oral objection.

The following language regarding the final approval hearing shall be added to the notice:

Class members may appear at the final approval hearing in person or remotely using the link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:

<https://santaclara.courts.ca.gov/online-services/remote-hearings>

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above change to the notice prior to its mailing, the notice is approved.

IV. Conclusion

The Court GRANTS the motion for preliminary approval, VACATES the Case Management Conference set for 2:30 p.m. on May 13, 2026, and sets a final approval hearing for January 13, 2027 at 1:30 p.m. in Department 19.

Plaintiffs shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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